Privately, when Krishnamachari formally requested assistance, Eisenhower and Dulles promised to “explore the possibilities.” The secretary of state emphasized that there was no conceptual problem with giving India aid, but there was a practical one, with Congress and the Treasury Department noting public demands for tax cuts and objecting to further aid.[118]

Within the administration, there was discussion about the costs and benefits of aiding India over the long term. The key question, according to the American embassy in Delhi, was “whether the free world can take the risk of letting India sink or swim on its own.” The China analogy was at the forefront of the arguments in favor of aiding India in both a negative and positive sense. The fundamental negative argument was that aid would help prevent a communist takeover of the country. China posed political, socioeconomic, psychological, and military problems for India. Economic development could alleviate India’s problems on these fronts.[119] The time was now, argued the head of the South Asia office at the State Department, because “Once a country, like China, comes under Communist control it is lost to the free world; no amount of dollars can buy it back.” The consequences of similar developments in India would be unacceptable: “[I]f India went so would go almost all of Asia.”[120] Bunker, on his part, suggested to Eisenhower that the answer on how much to do for India could be found in thinking about “what we would be willing to spend to reverse” the loss of China, where the US had failed to act in time.[121] And, he told Dulles, the loss of India would be even worse.[122]

There was also a more positive argument: Washington could help India win or at least keep pace with Moscow-aided China in the development race.[123] The Soviet launch of Sputnik in October 1957 had created a greater sense of urgency. Public shock had followed, as had Democratic accusations that the administration had allowed a number of “gaps” to develop between the free and communist worlds.[124] In this context, the American embassy in India argued that such a gap could not be allowed to develop between free India and communist China. Indeed, the US could help the former “be a great force for stability in Asia.”[125]

Based on these arguments, interagency recommendations, and discussions with Vice President Nixon and new treasury secretary Robert B. Anderson (an advocate of foreign assistance, unlike his predecessor), Dulles recommended a “substantially increased” India aid package to Eisenhower.